

D.1 · EQUITY RESEARCH

THE WORK ITSELF · one-page workflow · Financial Analytics Course, Appendix D

The job in one line: Follow companies so closely that investors pay for your opinion of their worth.

1

Own the model

A living Excel model per company. Drivers underneath: stores x revenue-per-store. Maintained every quarter.

2

The quarter loop

Preview note -> results night (actuals in, call notes, note out SAME night) -> full re-model.

3

Channel checks

Dealers, distributors, suppliers. Learn before the filings say it. Mosaic, never inside information.

4

Valuation & the call

Model -> DCF + comps -> target price -> Buy/Hold/Sell. Credibility = the courage to publish a Sell.

5

The two documents

Initiation (30-60 pp, weeks) and results notes (2-6 pp, hours). Answer first, always.

6

Client loop

Calls, roadshows, corporate access. Buy-side votes decide who gets paid.

WHAT YOU PRODUCE

Living model | preview/results/initiation notes | channel trackers | estimate tables

YOUR COURSE, IN MINIATURE

Model=3+5 | variance table=5A | valuation=8B | note=12.5 under time pressure

TRY THIS TONIGHT

Write MoneyMart's 2-page results note for a 5%-miss year.

D.2 · IB EXECUTION (M&A)

THE WORK ITSELF · one-page workflow · Financial Analytics Course, Appendix D

The job in one line: Run the process that sells a company. Project manager + analyst + document factory.

1

The pitch

Pitchbooks compete for the mandate. Most lose. The winner becomes months of work.

2

Preparation

The model (single source of truth), the 2-page teaser (no name), the CIM (60-120 pp), the buyer list.

3

Marketing

Teasers -> NDAs -> CIMs -> management presentations -> non-binding bids arrive.

4

Diligence

Buyers enter the data room. You run it: every question logged, routed, answered in writing.

5

Bids & the SPA

Binding bids + marked-up contracts. Model every price scenario. Lawyers fight; you compute.

6

Signing -> closing

Announcement, then approvals (CCI etc.), then the fee: 1-2%, success-only.

WHAT YOU PRODUCE

Pitchbook | teaser | CIM | management deck | model | Q&A log | bid matrix

YOUR COURSE, IN MINIATURE

Model=3+5+6 | valuation=8B | bid tables=4B | tracker discipline=Module 1

TRY THIS TONIGHT

Write MoneyMart's anonymised teaser + a 5-name buyer list with reasons.

D.3 · DUE DILIGENCE

THE WORK ITSELF · one-page workflow · Financial Analytics Course, Appendix D

The job in one line: Before someone pays Rs 900 crore, prove the company is what the sellers claim.

1

Scope & data pull

Questions defined, data room opens. Hour one is Module 1: grain, source, reconcile.

2

Quality of Earnings

Rebuild Adjusted EBITDA: one-offs, under-provisioning, related-party games, channel stuffing.

3

The bridge

Reported Rs 120 cr -> Adjusted Rs 96 cr. At 10x, that finding moved the price Rs 240 cr.

4

WC & hidden debt

Normal working capital for the price adjustment; hunt everything that behaves like debt.

5

Commercial DD

Different firm: is the MARKET story true? Interviews, cohort analysis, market rebuild.

6

The report

Deal-breakers / price-reducers / post-deal fixes. One-page summary, answer first.

WHAT YOU PRODUCE

QoE report + EBITDA bridge | net-debt schedule | red-flag register | Q&A log

YOUR COURSE, IN MINIATURE

Station 1=Module 1 | QoE=5A with suspicion | cohorts=5B | summary=12.5

TRY THIS TONIGHT

Write the DD finding sheet on MoneyMart's FY20-21 restatement.

D.4 · BUY-SIDE ANALYSIS

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The job in one line: Decide - with real money and your name attached - what a fund buys, holds, sells.

1

The screen

Filters cut 5,000 names to a reading list. Literally a pandas job (3C).

2

The thesis

4 sentences BEFORE the model: what we believe, why the market doesn't, what closes the gap.

3

The work

Model + 5 years of reports + transcripts + channel checks. Depth: 30-60 names known cold.

4

The IC memo

Exactly the 12.5 one-pager: recommendation, thesis, findings, range with a spine, PRE-MORTEM, ask.

5

Sizing & risk

Conviction x liquidity x correlation x mandate limits. 'What if it doesn't work?' sizes it.

6

Monitor & sell

Thesis tracked vs evidence. Exit when the THESIS breaks - not when the price falls.

WHAT YOU PRODUCE

Screens | thesis notes | models | IC memos | monitoring dashboards | post-mortems

YOUR COURSE, IN MINIATURE

Screen=3C | thesis-vs-evidence=Module 5 | sizing=10+12 | memo=12.5 verbatim

TRY THIS TONIGHT

Write only the 4-sentence thesis for a company you know as a customer.

D.5 · DERIVATIVES RESEARCH

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The job in one line: Measure what the market believes; find where beliefs are mispriced or worth insuring.

1

Positioning read

Daily: open interest by strike, basis, put-call ratio, rollovers. Where is the market leaning?

2

Volatility read

IV percentile | IV vs realised (rich or cheap insurance?) | skew (fear priced?) | term structure.

3

Build the structure

View -> spread/straddle/strangle/condor/collar -> payoff diagram -> MAX LOSS decided before entry.

4

The Greeks

Delta hedged, gamma feared, theta earned, vega = the real position. Watched like instruments.

5

Event playbooks

Budget, RBI, results: prepare 'if X then unwind Y' in advance.

6

Post-mortem

Did it pay for the stated reason? P&L by Greek. 6B's honesty ritual.

WHAT YOU PRODUCE

Daily positioning notes | IV dashboards | strategy notes with payoffs | attribution

YOUR COURSE, IN MINIATURE

Positioning=Module 4 | IV vs realised=9B+10C | payoffs=7B | max loss=10C tails

TRY THIS TONIGHT

Compute realised vol (10C one-liner); compare with India VIX; explain the gap in 3 sentences.

D.6 · CREDIT & RATINGS

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The job in one line: One question: will this borrower pay back, on time, in full? Publish the answer as a grade.

1

Mandate & pack

Issuer requests (and pays - the managed conflict). Hour one: reconcile, restatements, GROUP map.

2

Business risk

Cycles, position, customer concentration, regulation. What breaks these cash flows?

3

The ratio engine

Debt/EBITDA | EBITDA/Interest (coverage - the most watched) | gearing | CFO vs debt due.

4

Liquidity

The killer category. Maturity ladders, stressed. Running out of cash is a different death.

5

Punished projections

Cut revenue, squeeze margins, refinance +200bps. Does coverage stay above 1?

6

Committee & watch

Grade + outlook + published rationale (grade first, 3 drivers, triggers). Then surveillance forever.

WHAT YOU PRODUCE

Rating rationales (public - read ten!) | maturity ladders | stress grids | credit memos

YOUR COURSE, IN MINIATURE

Ratios=Module 3 | ladders under stress=9C+10B | monitoring=5B | rationale=12.5

TRY THIS TONIGHT

Compute MoneyMart's coverage per year; write the 4-line rationale; compare FY21 vs FY25.